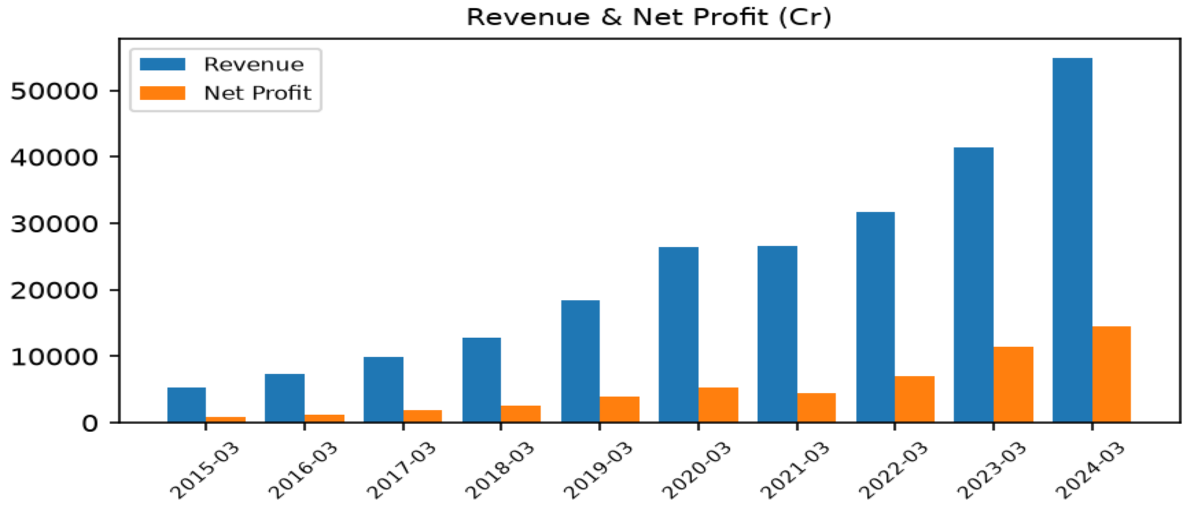
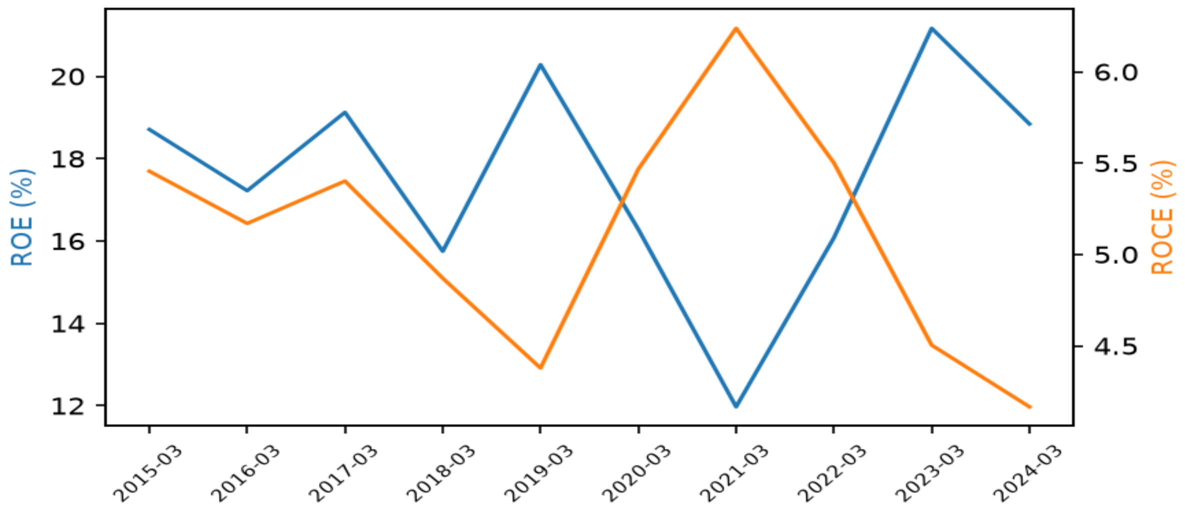
Bajaj Finance Ltd (BAJFINANCE)

ROE 18.8%	**ROCE** 4.2%	**Net Profit Margin** 26.3%
D/E 3.8	**Revenue CAGR 5yr** 24.4%	**Free Cash Flow (Cr)** -79931.0

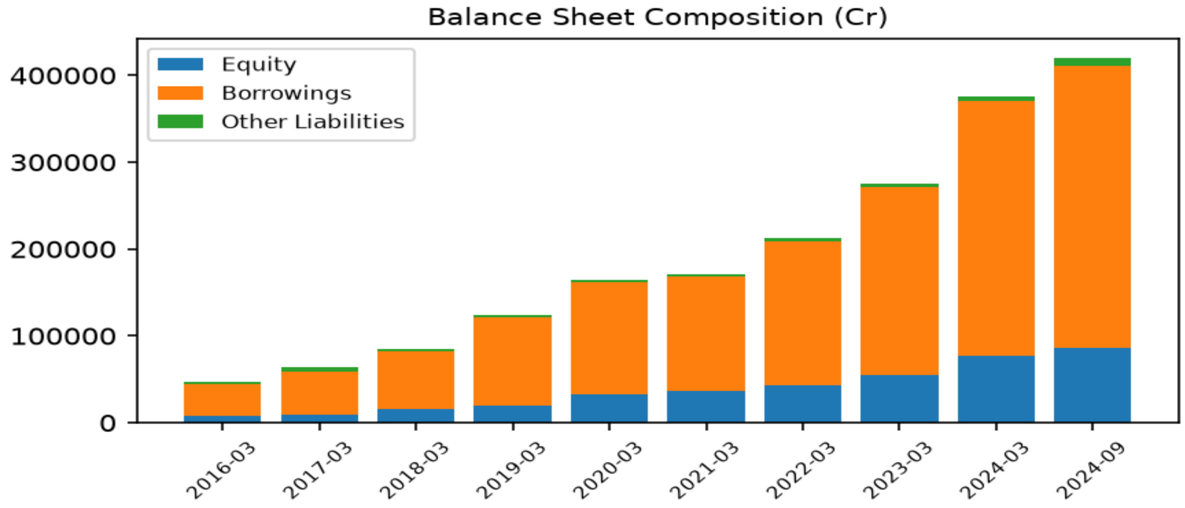
Revenue & Net Profit (10yr)



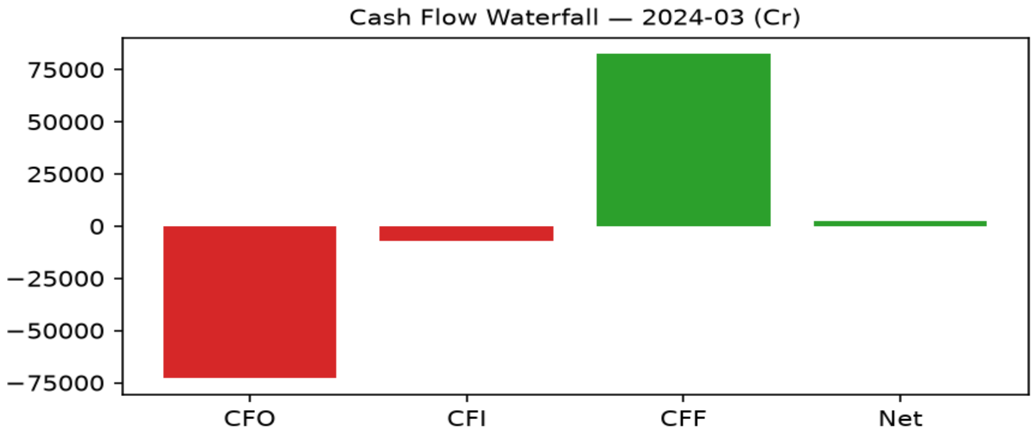
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Debt-to-equity of 3.82 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt